

October/November 2023 13

1-D:

A- excess demand occurs when quantity demanded exceeds with quantity supplied, creating a shortage in a market. This is not the explained above

B- free goods are unlimited in supply and have no price attached to it and hence no opportunity cost. But the goods mentioned have prices so no free goods concept

C- market failure occurs when free functioning markets fails to allocate resources from the society's point of view

D- yes, this can be a concept as consumers has a limited income but have unlimited wants

2-C:

The Production Possibilities Curve (PPC) is a model used to show the tradeoffs associated with allocating resources between the production of two goods.

The movement from point X to Y is leading to move towards more consumer goods. This meant more consumer choices and hence a higher standard of living. Lets find out the correct answer below:

A- increase in investment would lead to the movement from point Y to X but this is not the case

B- discovery of new resources would cause shift in the PPC

C- yes, this could be possible as explained above

D- this also causes shift in PPC

3-A:

Capital is one of the four factors of production, alongside land, labor, and entrepreneurship. It refers to the man-made goods used in the production of other goods and services.

Railway track could be capital that will be used in further production of railways stations.

Thus makes option A correct.

4-D:

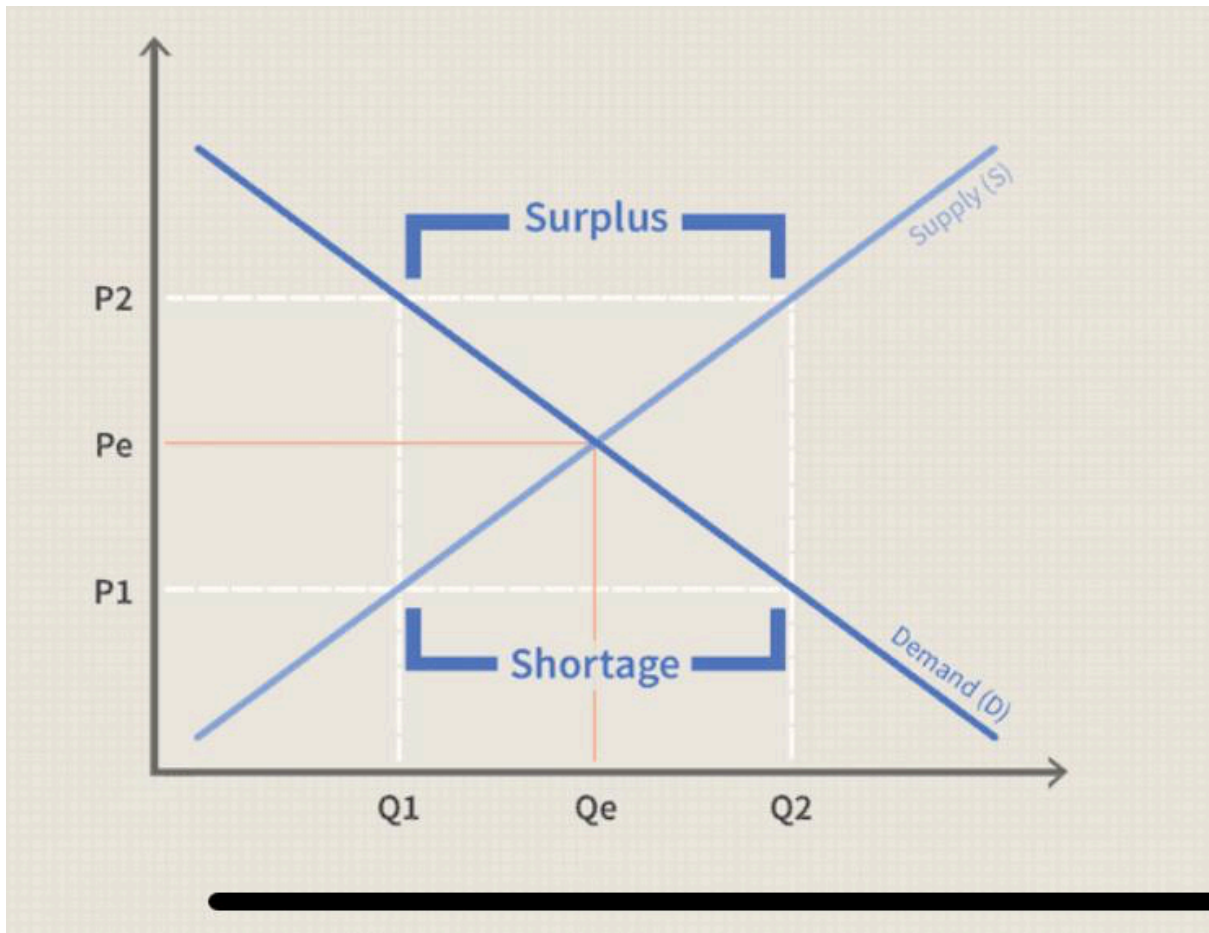
Market disequilibrium can be when there is shortage or surpluses in a market.

A- this is situation of equilibrium

B- no sign of market disequilibrium

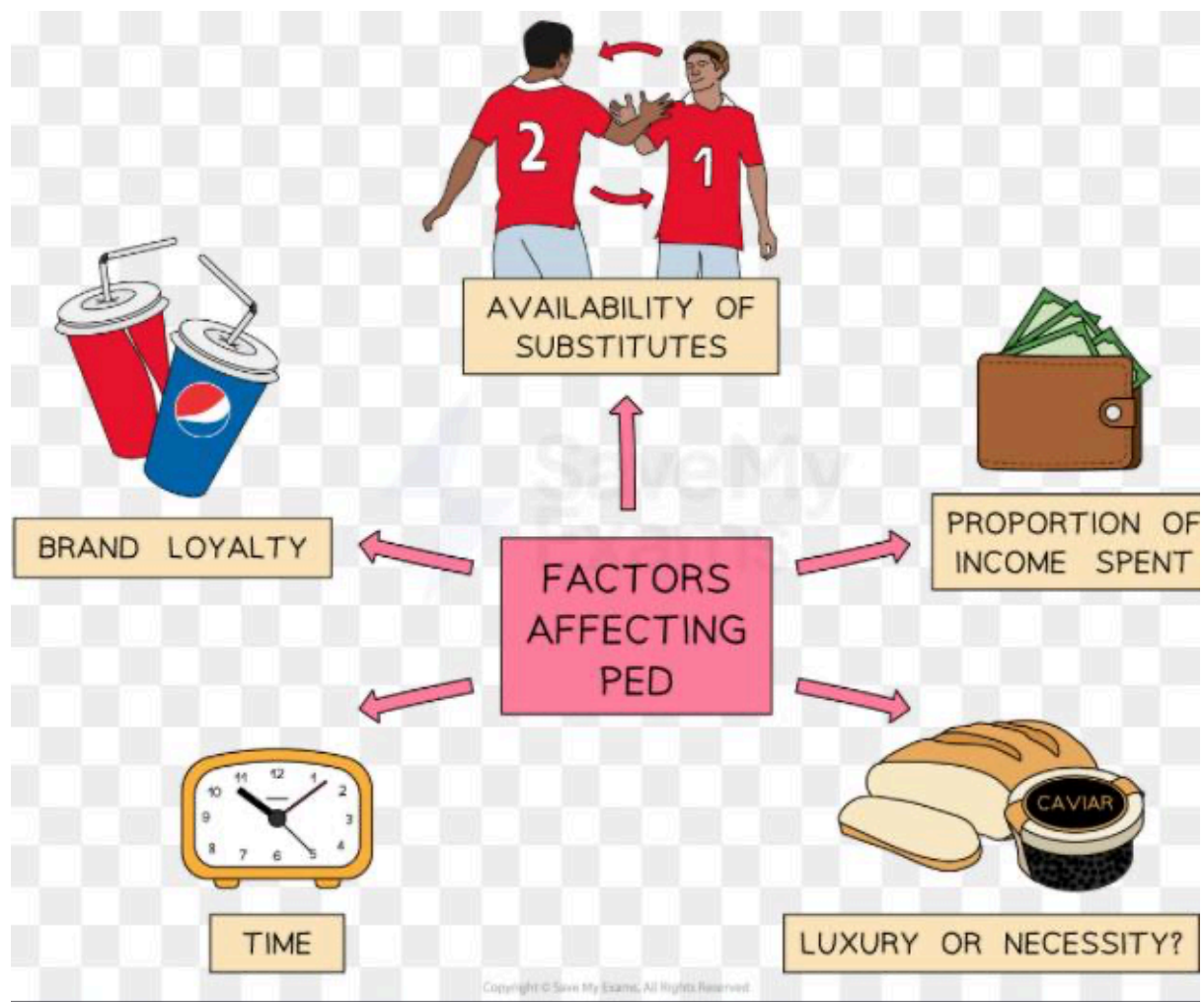
C- same as above

D- yes, this can be an answer



5-C:

PED is calculated as the percentage change in quantity demanded divided by the percentage change in price.

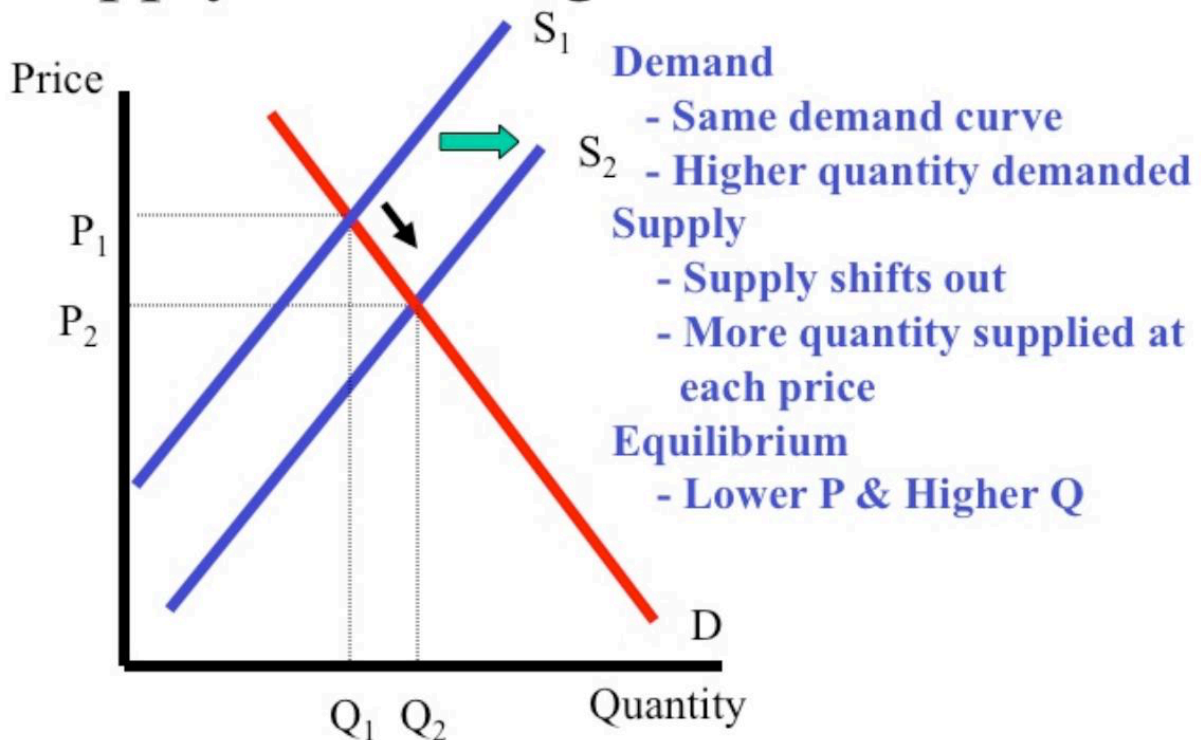


- A- PES factor
- B- factor of demand for labour
- C- yes, inelastic demand
- D- market failure

6-D:

Supply shifting to the right means prices are falling and quantity supplied will be extended as shown in the diagram below:

Supply Shifts Right



Let's find out the reason also:

A- increase in cost of production will shift supply leftward as cost of producing goods will be more expensive and contracts quantity supplied.

B- this is a concept of substitute, if the price of coke increases then the quantity demanded of Pepsi will increase

C- this will cause movement along the curve

D- yes, this can be a reason as productivity rises, more agricultural production can be done. This will shift rightward to supply.

7-D:

The price elasticity of supply (PES) is commonly known as "a measure used in economics to show the responsiveness, or elasticity, of the quantity supplied of a good or service to a change in its price.

A- this factor can shifts supply leftward

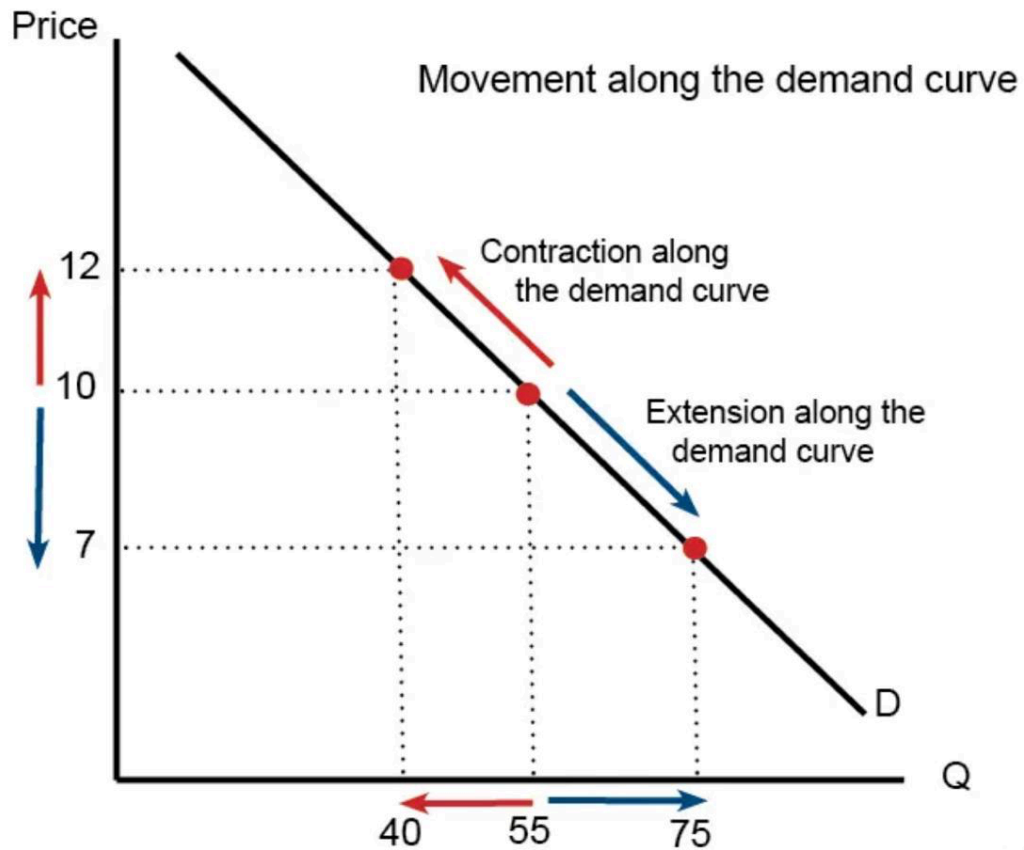
B- this factor is unrelated to increase the PES

C- this factor of PED being elastic

D- yes, this can increase in PES as the goods can be stored for a longer period of time makes it elastic supply

8-A:

We can clearly see that movement from point X to Y will increase the price and contract the quantity demanded as shown in the diagram below



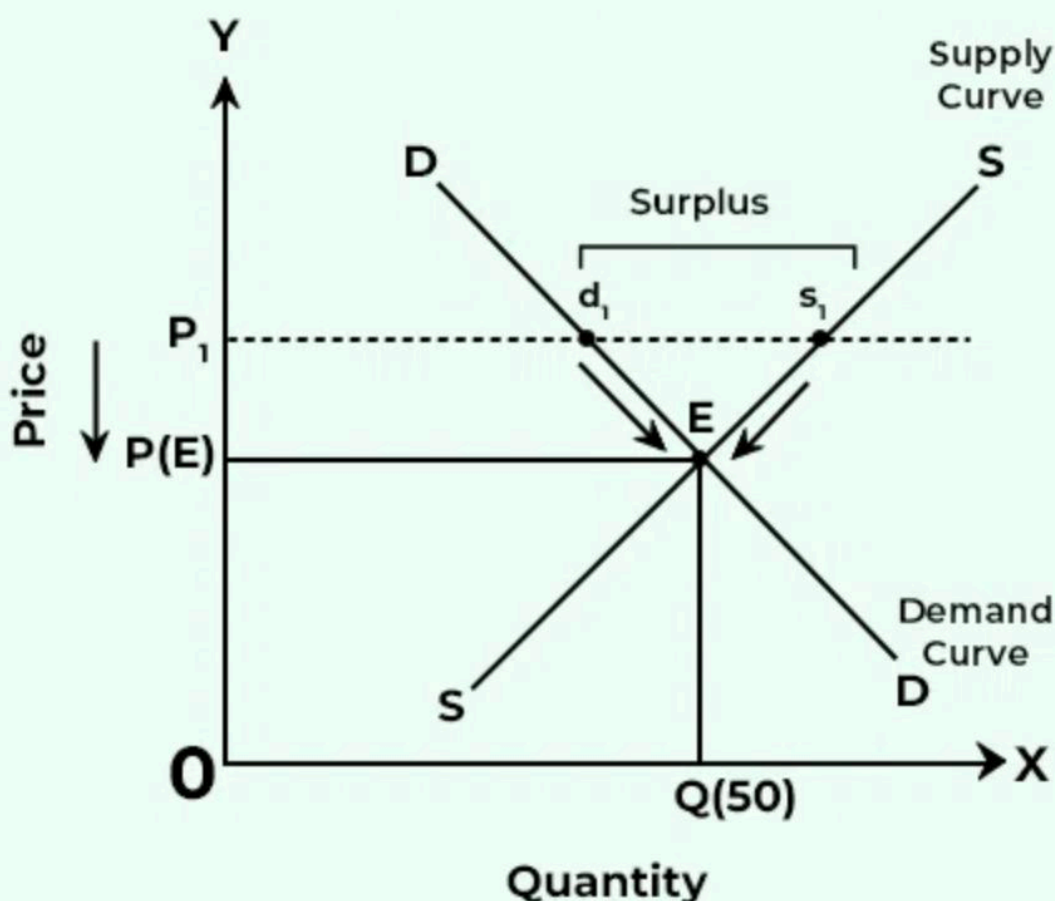
9-B:

A market surplus, also known as excess supply, occurs when the quantity of a good or service supplied by producers exceeds the quantity demanded by consumers at the current market price.

We can clearly see to reach equilibrium where $d=s$, market prices should be fall.



Excess Supply (Surplus in Market)



A- decrease in demand will create the further surpluses

B- yes, as explained above

C- rise in price would be case if there is shortage in a market

D- increase in supply will also create further disequilibrium

10-B:

To increase the quantity demanded by the largest%, then the demand must be relatively elastic. As elastic demand says a small change in price leads to a relatively large change in the quantity demanded. In case PED will be greater than 1.

So from the given information, we can easily find out the PED greater in option B and D only. Other options A and C have inelastic demand that says a larger change in price leads to a relatively smaller change in the quantity demanded. In this case PED, lesser than 1.

From the diagram, if price reduces by a smaller percentage, then the quantity demanded will expand by greater percentage. So, price needs to fall from \$10 to \$9

This makes option B the correct choice.



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11-B:

Money is the commonest metric used to express the value or worth of an item and service and for storing and conveying value into the future.

- A- function of store of value
- B- measure of value
- C- deferred payments
- D- medium of exchange

12-A:

Interest rate is the cost of borrowing or return on savings.

A fall in interest rates will affect two main parties: savers and borrowers.

Savers would save less due to low returns on their savings and start to consume more. Thus increasing the AD.

In addition, the borrowers would increase their borrowing as their cost of borrowing reduces and increases their investment.

Therefore, the amount saved decreases with the decrease in the cost of borrowing, making option A correct.

13-C:

Many small enterprises have closed down that indicate that supply of energy has been reducing. A fall in supply will result in a rise in the price of energy and thus reduce the choice of energy providers available to the consumers. This makes option C correct.

14-B:

An illustration of a government building with a large dome and columns. Behind the building are several tall smokestacks emitting smoke. Several dollar bills are shown falling from the sky around the building.

State-Owned Enterprise

['stāt-'ōnd 'en-tər-,prīz]

An entity formed by the government for the purpose of engaging in commercial activities.

Option B is only the objective of state ownership. While other options mentioned the objective of private ownership.

15-B:

A monopoly is characterized by a single seller dominating a market, offering a unique product with no close substitutes, and possessing significant control over price and output.

A- there are high barriers to entry

B- yes, large firms have an advantage of sufficient funds available to research and develop new products at lower cost

C- government want lower prices to benefit consumers

D- no profit motive a government has

16-A:

A fixed cost is a cost that doesn't change with an increase or decrease in the number of goods and services being sold and produced.



From the given table, we can identify that at 0 level of output, the fixed cost is \$20000. As explained above, FC remains constant over a given period of time whether 0 level of computers produce or 3000 computers produces. Therefore, option A is correct.

17-C:

Direct taxation means higher tax rates for those with higher income or more wealth, so that those who earn or have more are taxed at a higher rate.

Let's find out the reason for government imposed of direct tax:

A- if to control the spending on certain goods, then indirect tax would be used or appropriate as it directly impacts goods and services prices

B- to encourage businesses investment, then companies tax or corporate taxes should be relief

C- yes, this could be a reason as direct tax impacts richer people. So higher taxes means more funds can be collected from them and can spend on merit goods such as education or healthcare to the most needed people such as the poor.

D- indirect taxes would be used or appropriate

18-B:

A tax that takes a larger percentage of income from low-income groups than from high-income groups known as regressive tax.

A- decreasing the rate of tax will become less regressive.

B- yes, this could be regressive if tax free allowances decreases, then more income have spent on the commodities

C- not be regressive as it will give consumers to enjoy more of their income

D- its is type of progressive taxation

19-D:

Interest rate is the cost of borrowing or return on savings.

A fall in interest rates will affect two main parties: savers and borrowers.

Savers would save less due to low returns on their savings and start to consume more. Thus increasing the AD.

In addition, the borrowers would increase their borrowing as their cost of borrowing reduces and increases their investment.

Therefore from the given options, we can find our best choice that is option D

20-D:

Supply-side economics holds that increasing the supply of goods translates to economic growth for a country.

In supply-side fiscal policy, tax cuts, lower interest rates, and deregulation help foster increased production.

Let's find out the measures from the given options:

A- tariff on imported goods will increase the AD as domestic goods will be cheaper to domestic consumers. It is a demand side policy or expenditure switching policy

B- indirect taxes will be imposed on the goods and services that will affect AS by reducing it not increasing it and it will result in economic loss.

C- this also reduces the AD not impact AS

D- yes, this factor could be regarded as deregulation as more firms could enter the market easily. This will result in more goods and services being produced and thus increasing AS and foster economic growth.

21-B:

Economic growth refers to an increase in the production of goods and services in an economy over a specific period.

A- unlikely possible, as during economic growth more incomes will be generated but only to richer people and poor people will be worse off and hence more unequal distribution of income

B- yes, this could be most likely as economic growth would lead to use of more resources as more output is produced.

C- no, economic growth would lead to more income so more imports can be bought

D- no, more income more tax revenue will be collected as higher income would lead government to charge higher direct taxes on consumers

22-C:

High-income countries, also known as developed countries, are nations with a high level of economic development, a high standard of living, and a high per capita income. These countries typically have advanced technological infrastructure, a diversified economy, and a focus on providing quality education, healthcare, and social services to their citizens.

From the given, we can identify that High income countries employ fewer labour and its substitutes more, that is capital equipment.

A- if there is fall in demand for cereals, then production would also stop

B- if there is a lack of capital equipment, then fewer labours wouldn't be employed

C- yes, this could be possible as high productivity and few workers that indicate that there is more use of machines in cereals production

D- if there is large migration, more workers would be available and would be more cheaper to high income countries than machines

23-B:

Inflation is the rate of increase in prices over a given period of time.

A- creditors/lenders: they would be worse off as they would receive less in terms of real value of money

B-borrowers: yes, they would be better off as they have to return less in terms of real value money

C-fixed income earners:they also be worse off as their real income would be fall due to fixed amount of income

D-holders of cash: value of money would fall

24-D:

A- budget surplus when (tax revenue > government spending). If budget surplus increases that means that taxes are increasing on consumer's income and government spending is reducing. Since taxes are increased, disposable income will fall and consumer savings will fall. So increase in first indicator is reducing second indicator

B- if consumer expenditure is increasing, then spending will increase and this leads to increase in AD and fall in unemployment. Therefore, increasing first indicator also reducing second indicator

C- if inflation is increasing, that makes exported goods appear expensive to the other countries and exports start to fall. This leads to fall in export revenue and hence trade surplus also reduces

D- if productivity is increasing, this also leads to more output being produced and thus standards of living. Yes, the increase in the first indicator increases the second indicator.

25-B:

To increase the population of a country, the birth rates should be high, the death rates should be low and net migration must be positive. This makes option B the correct one. Positive net migration means more countries are coming instead of leaving the country

26-A:

A- A transfer payment is a payment of money for which there are no goods or services exchanged.

Yes this could be possible as the government has to give transfer payments in the form of pensions and health benefits to age above 65

B- no, this age group of 65 can't be retained so no facilities required

C- no, savings will decrease and spending in an economy will increase

D- no, the economic growth rate will be slower as higher taxes will set that will be spent on people above 65

27-B:

International specialization, where countries focus production on specific goods and services, is driven by several key factors, primarily comparative advantage and

economies of scale. This leads to increased efficiency, lower production costs, and greater global output.

A-no, if there is similar climate then there would be need of trade

B-yes, this can be the reason as it is the concept of comparative advantage
Comparative advantage is an economy's inherent ability to produce a product or service at a lower opportunity cost than its trading partners.

C-no, if there is a discovery of oil in a country that doesn't mean that it leads to international specialisation

D-no, if there is high transport cost then there is no involvement of trade

28-C:

Free trade agreements means trade without protectionism, so each country will produce those goods which they are best at, that is international specialisation.

A- can't be benefit of free trade agreement and also labour who will also increase the wages and thus increasing the cost to the firms

B-no, as tariff is one of the type of protectionism and not allow free trade between countries

C-yes, this could be the reason as free trade allows countries to be more efficient

D-no protection in free trade

29-B:



Currency Appreciation

['kʌr-ən(t)-sē ə-,prē-shē-'ā-shən]

An increase in the value of a currency in relation to another currency.

A-no, as it not linked with currency appreciation

B-yes, as appreciation will makes imports to be cheaper than domestic goods so it will benefit retailers

C-no,again no link to currency as they compete in local markets

D-no, this would be a disadvantage as exports will be more expensive so the workers in local companies might lose some sales

30-A:

Current Account Visible Trade (Goods): Exports and imports of products like oil, cars, computers.Invisible Trade (Services): Revenue from services (e.g., IT, tourism). Income: Profits, interest, dividends from abroad.

Transfers: Remittances, gifts, donations

A-yes, government transfers

B-no, this is a balance of trade

C-no, this record in financial account of balance of payments

D-no, primary income of current account of balance